Intelligent Investing

ET Prime Special Series: Multibagger or IBC - Part 75: Delisting, merger, demerger: Long restructuring story of one auto ancillary



Synopsis

Last week's auto-ancillary story dealt with another major participant in the same broad industry. This week's business is dramatically narrower. It operates from one manufacturing location, derives almost all product sales from one safety-critical category and is 75% promoter-owned. Yet it has survived multiple attempts t and corporate structure. Its latest disclosures raise another important question: Where business end and the wider MNC group's business begin?

You would recognise this brand without thinking. I is stamped in the corner of windshields on cars all over Indian roads, whether it is hatchbacks, SUVs, sedans, you name it. So it would be natural to assume that the listed company carrying that name makes all that glass, and that owning its shares means owning that whole familiar business.

Here is the catch, and it comes straight from a regulator's own record. The glass on most of those passenger cars does not come from the listed

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company at all. It comes from a separate business inside the same global group. The listed company you would actually be buying supplies mainly commercial vehicles and three-wheelers. And the passenger-car operation is now being hived off into its own entity entirely.

That is a small distinction with enormous consequences. An investor sizing up this company by counting every branded windshield on the road would badly overestimate what the listed business actually sells.

There is only one listed company here, but the story around it stretches across several entities, customer relationships, promoter holdings, and old restructuring attempts. That matters because investors can easily confuse the wider group brand with the economics of the listed entity.

The company has survived a failed delisting, a failed merger, a plant closure. Today, its finances look very different from that of the past. Here the difficult part is not understanding the product. It is understanding the perimeter of the listed company itself.

The company we will be taking a deep dive into is **Saint-Gobain Sekurit India Limited** (SEKURITIND).

But first... about our headline

Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

*This series on **auto ancillary companies** works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.*

For previous stories in this AA Series, kindly click

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on the respective links -**Intro**, **1**, **2**, **3**, **4**, **5**, **6**, **7**, **8**, **9**, **10**, **11**, **12**, **13**, **14**, **15**, **16**, **17**, **18**, **19**, **20**, **21**, **22**, **23**, **24**, **25**, **26**, **27**, **28**, **29**, **30**, **31**, **32**, **33**, **34**, **35**, **36**, **37**, **38**, **39**, **40**, **41**, **42**, **43**, **44**, **45**, **46**, **47**, **48**, **49**, **50**, **51**, **52**, **53**, **54**, **55**, **56**, **57**, **58**, **59**, **60**, **61**, **62**, **63**, **64**, **65**, **66**, **67**, **68**, **69**, **70**, **71**, **72**, **73**, **74**

Familiar Product, Unfamiliar Company

There is an unusual continuity between Part 74 and Part 75 of this series. In the previous edition, we studied **Asahi India Glass Limited**, another major listed name in automotive glass. This week, we stay in the same product neighbourhood, but move into a very different corporate structure.

The comparison is useful because investors should not treat every auto-glass business in the same way. Saint-Gobain Sekurit India, or SGS, is a much narrower listed entity, embedded inside the much larger global Saint-Gobain organisation.

Its FY26 disclosures show just one national manufacturing plant, the Chakan facility near Pune.

There is another small listing quirk worth clearing up at the outset. The company's annual report identifies the BSE as its listing exchange. Yet, investors can also find and trade the stock on NSE under the symbol SEKURITIND. That does not mean it has a normal NSE listing.

NSE's own material describes this as the Permitted to Trade, or PTT, mechanism. PTT allows securities listed on another exchange to trade on NSE without becoming formally listed there.

From MSG to SGS

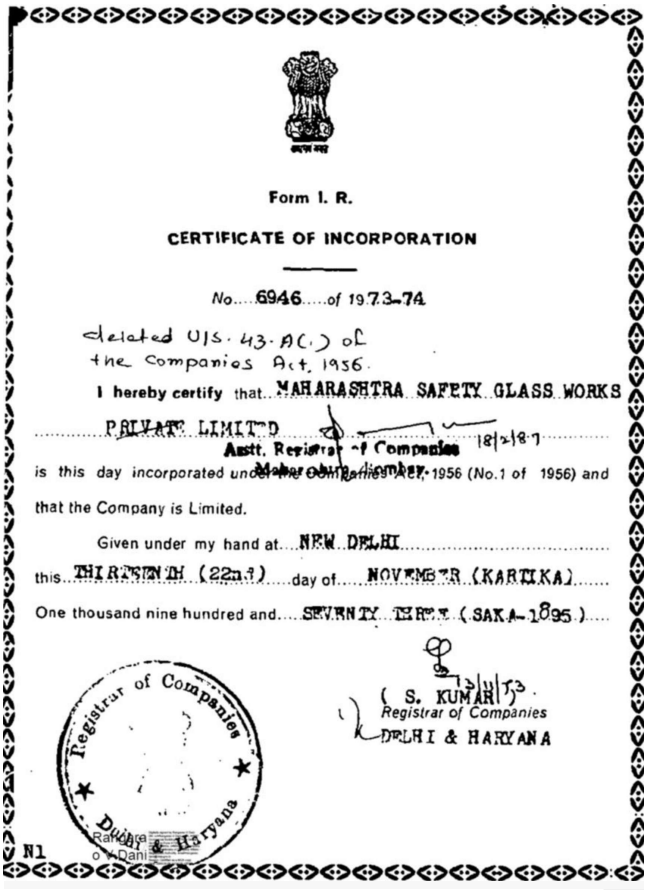
The corporate history starts more than five decades ago. The incorporation certificate records the business as Maharashtra Safety Glass Works Private Limited, incorporated in November 1973.

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Form I. R.

CERTIFICATE OF INCORPORATION

No. 6946 of 1973-74

deleted U/S. 43-A(1) of the Companies Act, 1956.

I hereby certify that MAHARASHTRA SAFETY GLASS WORKS PRIVATE LIMITED

Asstt. Registrar of Companies Maharashtra, Bombay 18/2/87

is this day incorporated under the Companies Act, 1956 (No.1 of 1956) and that the Company is Limited.

Given under my hand at NEW DELHI

this THIRTEENTH (22nd) day of NOVEMBER (KARTIKA)

One thousand nine hundred and SEVENTY THREE (SAKA-1895)

12/11/73

(S. KUMAR)
Registrar of Companies
DELHI & HARYANA

Registrar of Companies Delhi & Haryana

N1

Source: MOA and AOA document on company's website

In the next change, Maharashtra Safety Glass Works Limited was renamed as Maharashtra Glass and Agro Limited. Saint-Gobain's group website records 1998 as the year it acquired a majority equity stake in the business.

The new ownership was soon reflected in the name. In December 1998, Maharashtra Glass and Agro Limited became Sekurit Saint-Gobain India Limited. Two years later, in November 2000, the names were reordered once again. Sekurit Saint-Gobain India Limited became Saint-Gobain Sekurit India Limited, the name the listed company carries today.

The more interesting part came after Saint-Gobain took control of the company. Over the next few years, there were two attempts that could have ended SGS's life as a separately listed company.

The first came in 2011. At the time, promoters owned about 85.77% of SGS, leaving public shareholding

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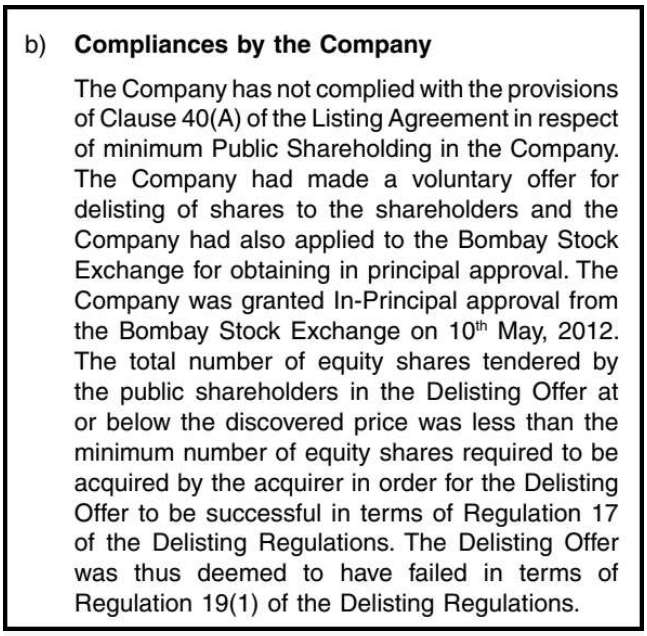
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below the required 25%. SGS therefore proposed to delist itself from BSE, instead of reducing its promoter holding. Shareholders approved the proposal and BSE gave its in-principle approval in May 2012.

But the delisting failed as the number of shares tendered at or below the price, were lower than the minimum quantity required for the offer to succeed. And thus SGS remained listed.



b) **Compliances by the Company**

The Company has not complied with the provisions of Clause 40(A) of the Listing Agreement in respect of minimum Public Shareholding in the Company. The Company had made a voluntary offer for delisting of shares to the shareholders and the Company had also applied to the Bombay Stock Exchange for obtaining in principal approval. The Company was granted In-Principal approval from the Bombay Stock Exchange on 10th May, 2012. The total number of equity shares tendered by the public shareholders in the Delisting Offer at or below the discovered price was less than the minimum number of equity shares required to be acquired by the acquirer in order for the Delisting Offer to be successful in terms of Regulation 17 of the Delisting Regulations. The Delisting Offer was thus deemed to have failed in terms of Regulation 19(1) of the Delisting Regulations.

Source: Company's annual report FY13

The group then tried a different restructuring. In April 2013, a proposal was approved to merge SGS and two other Saint-Gobain companies into the listed **Grindwell Norton Limited** (one of the Saint-Gobain Group of Companies in India as per the FY2 annual report). SGS shareholders approved the scheme.

But this attempt also failed, this time because Grindwell Norton's public shareholders voted against the merger.

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SAINT-GOBAIN

ANNEXURE 'B' TO THE DIRECTORS' REPORT, FOR THE YEAR ENDED 31ST MARCH, 2014.

AUDITORS' CERTIFICATE ON CORPORATE GOVERNANCE

TO THE MEMBERS OF

SAINT-GOBAIN SEKURIT INDIA LIMITED

We have examined the compliance of conditions of Corporate Governance by Saint-Gobain Sekurit India Limited (the Company) for the year ended on March 31, 2014 as stipulated in Clause 49 of the Listing Agreement of the Company with the Bombay Stock Exchange Limited.

The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was limited to a review of the procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement . One of the Promoter Saint-Gobain Glass India limited diluted its shareholding via offer for sale on May 30, 2013 in order to comply with the Clause 40(A) of the Listing Agreement. The Board of Directors at its meeting held on 19th April, 2013 had considered and approved the Scheme of Amalgamation under Section 391 to 394 of the Companies Act, 1956, envisaging, inter alia, amalgamation of the Company along with the other companies referred to as the "Transferor Companies" with Grindwell Norton Limited (GNO) referred to as the Transferee Company' with the appointed date being 1st April, 2013. The Shareholders of the Company approved the scheme vide court convened meeting held on 27th November, 2013 and through postal ballot. However the shareholders of the Transferee Company (Other than Promoter and Promoter Group Company) did not pass the resolution by postal ballot with requisite majority.

We state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For and on behalf of

V. N. Deodhar & Co.
Name: Vinayak Deodhar
Membership No. FCS 1880
CP No. 898

Place : Mumbai
Date : May 19th, 2014

Source: Company's annual report FY14

Meanwhile, SGS still had to meet the minimum public-shareholding requirement. In May 2013, Saint-Gobain India sold part of its SGS holding through an offer for sale, reducing its stake from 24.5% to 13.74%. SGS remained listed, with promoter holding brought down to the permitted level.

4. Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company:

Particulars	Number of shares as at 31st March, 2015	Number of shares as at 31st March, 2014
Equity Shares:		
Saint-Gobain Sekurit S.A., France the Holding Company	**55,813,526 (61.26%)**	55,813,526 (61.26%)
Saint-Gobain India Private Limited (Formerly Saint-Gobain Glass India Limited), a subsidiary of CDI Saint-Gobain, the Ultimate Holding Company	**12,515,749 (13.74%)**	12,515,749 (13.74%)

Note: Saint-Gobain India Private Limited (Formerly Saint-Gobain Glass India Limited) had diluted their shareholding in the Company via Offer for sale on May 30, 2013 from 24.5% to 13.74% to comply with the Clause 40 A of Listing agreement.

Source: Company's annual report FY15

So the independent listed company survived a delisting attempt and then survived a proposed group merger.

A few years later, the operating footprint itself was reshaped. The company's old Bhosari plant had become economically unviable. The board decided i August 2015 to discontinue operations and the facility was closed from November 30, 2015.

NOTES FORMING PART OF FINANCIAL STATEMENTS AS OF AND FOR THE YEAR ENDED 31st MARCH, 2016

NOTE 34

As it was economically unviable to continue the operations of the Bhosari plant of the Company, the Board of Directors, in its meetin held on 31st August 2015 decided to discontinue the operations with effect from 1st September 2015. Subsequently, the plant wa closed with effect from 30th November 2015. Consequently:

i) an aggregate expenditure of ₹149,167,106 is recognized in Statement of Profit and Loss as Exceptional Item being write of towards carrying value of certain fixed assets & inventory, compensation paid on settlement with workmen and other relate costs.

ii) Fixed assets aggregating ₹ 86,321,941 are classified as "Assets held for sale" under "Other current assets"; this include ₹56,705,618 in respect of KT to BT equipment situated at Bhosari plant which is proposed to be sold to Saint-Gobain Indi Private Limited (SGIPL) pursuant ot shareholders' approval on 1st August 2015 and other assets, which are also propose to be sold to SGIPL valued at ₹29,616,323, being lower of cost or net realisable value.

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Source: Company's annual report FY16

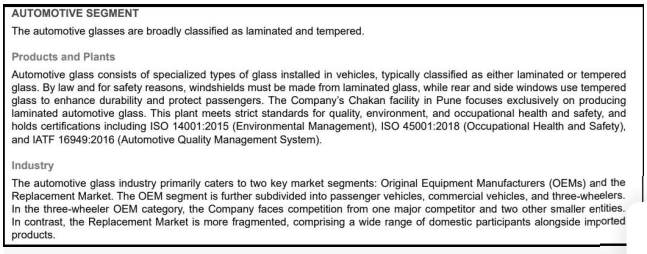
Today, the Chakan plant is the centre of the listed manufacturing business. This history matters because the corporate structure is not a side note. It has repeatedly been part of the investment story. And in 2026, it has returned again.

One-product Dominance

The listed business is unusually focused. Automotive glass is broadly divided into laminated and tempered glass.

The easiest way to understand **laminated glass** is to imagine a sandwich. Two layers of glass sit around a transparent interlayer. If the windshield is hit, the glass can crack, but the interlayer helps prevent the broken pieces from simply flying into the occupants. This is why the company's annual report notes that windshields use laminated glass for safety.

Tempered glass works differently. It is treated so that when it fails, it tends to break into smaller pieces rather than large sharp fragments. It is commonly used in the side and rear windows.



AUTOMOTIVE SEGMENT

The automotive glasses are broadly classified as laminated and tempered.

Products and Plants

Automotive glass consists of specialized types of glass installed in vehicles, typically classified as either laminated or tempered glass. By law and for safety reasons, windshields must be made from laminated glass, while rear and side windows use tempered glass to enhance durability and protect passengers. The Company's Chakan facility in Pune focuses exclusively on producing laminated automotive glass. This plant meets strict standards for quality, environment, and occupational health and safety, and holds certifications including ISO 14001:2015 (Environmental Management), ISO 45001:2018 (Occupational Health and Safety), and IATF 16949:2016 (Automotive Quality Management System).

Industry

The automotive glass industry primarily caters to two key market segments: Original Equipment Manufacturers (OEMs) and the Replacement Market. The OEM segment is further subdivided into passenger vehicles, commercial vehicles, and three-wheelers. In the three-wheeler OEM category, the Company faces competition from one major competitor and two other smaller entities. In contrast, the Replacement Market is more fragmented, comprising a wide range of domestic participants alongside imported products.

Source: Company's annual report FY26

And the revenue mix shows just how dominant tha product is. In FY26, laminated safety glass generate about Rs. 234.68 crore of external customer sales. Tempered glass contributed only about Rs. 2.15 cror That means laminated glass represented roughly 99% of product sales.

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NOTE 43 - SEGMENT INFORMATION

The Company's Managing Director (MD) Mr. K.S. Gopalakrishnan identified as the Chief Operating Decision Maker, examines the Company's performance on an entity level. The Company has only one reportable segment i.e. 'Automotive Glass'.

The Company's revenue is derived from sale of Automotive Glass to Automobile Original Equipment Manufacturers ("OEMs") and the Replacement Market for passenger vehicles, commercial vehicles and 3-wheelers.

Amount of the Company's revenue from external customers broken down by each product and service is shown in the table below:

Revenue from external customers*	Year ended March 31, 2026	Year ended March 31, 2025
Laminated Safety Glass	**23,468.01**	20,036.08
Tempered Glass	**215.21**	155.35
Total sales	**23,683.22**	20,191.43

* Includes revenue from Fellow subsidiaries ₹ 3,514.57 Lakhs (March 31, 2025: ₹ 4,225.61 Lakhs).

The Company's revenue from external customer attributed to countries other than India are not material. The Company's non-current assets (other than financial instruments, deferred tax assets, post-employment benefit assets) in countries other than India are not material.

Revenue of approximately ₹ 14,551.17 Lakhs (March 31, 2025: ₹ 9,470.78 Lakhs) are derived from few external customers which represents 10% or more of the total revenue for Year ended March 31, 2026.

Source: Company's annual report FY26

This is therefore not a diversified component basket. It is primarily one safety product, supplied into multiple vehicle and replacement applications.

From an EV perspective, that simplicity is useful. A diesel truck requires a windshield. So does an electric truck. An ICE three-wheeler requires glazing. So does an electric three-wheeler.

The engine, transmission, exhaust and fuel system can disappear or change materially in the transition to electric mobility. The vehicle's safety glazing does not.

For our EV classification, the core product is therefore best viewed as a neutral carryover with continuing relevance. The key EV question is not technological obsolescence. It is which customers and vehicle categories gain or lose volume.

FUTURE PROSPECTS

Electric vehicle adoption is accelerating in three-wheelers, with traditional large OEMs outperforming new entrants and consolidating their positions. Some new OEMs are expanding product lines and have made gains in light commercial vehicles, buses, and small commercial vehicles under 3.5 tons. These trends highlight opportunities for value-added glazing, especially with the introduction of air-conditioned cabins. We have started supplying one key customer and are in discussions with others, aiming to strengthen our market presence. Our growth strategy focuses on increasing business with current customers, broadening value-added offerings in commercial vehicles, successfully executing new light commercial vehicle programs, and expanding further in the bus body market.

Source: Company's annual report FY26

Who Are the Customers?

This is where an apparently straightforward business becomes confusing. The FY26 annual report states that Saint-Gobain Sekurit India derive revenue from automotive glass supplied to OEMs and the replacement market across passenger vehicles, commercial vehicles, and three-wheelers.

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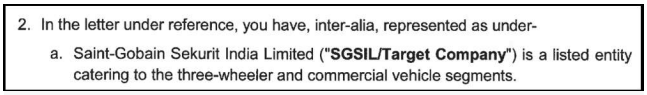
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However, in an informal-guidance letter dated June 4, 2026, SEBI recorded a representation by the applicant, Saint-Gobain Sekurit Automotive Pvt Ltd, that the listed company caters to the commercial-vehicle and three-wheeler segments, while Saint-Gobain India Pvt Ltd's Sekurit Division caters to the passenger-vehicle segment.

The applicant had requested confidentiality. The scheme permits confidential treatment for a specified period of up to 90 days, and the documents are now publicly available on SEBI's website.

That passenger-vehicle division is proposed to be demerged into a separate company, Saint-Gobain Sekurit Automotive Pvt Ltd.


2. In the letter under reference, you have, inter-alia, represented as under-
   a. Saint-Gobain Sekurit India Limited ("**SGSIL/Target Company**") is a listed entity catering to the three-wheeler and commercial vehicle segments.

Source: SEBI Informal Guidance dt. June 04, 2026

That distinction becomes important when one looks at cars on the road.

Our primary research in the office parking found 'Saint-Gobain Sekurit' branding on several passenger vehicles, including Tata Nexon and Punch, Kia Seltos, Maruti WagonR, Honda Amaze and Brio, Ford Figo, Hyundai Creta and Verna, Renault Kwid and Duster, MG Hector and Astor, and Mercedes GLC 200.

But this should not be read as implying that every version of those models uses Saint-Gobain glass. A vehicle manufactured in 2014 may have a different glass supplier from a 2019 version, a facelifted model, or another variant of the same car. OEM sourcing can change over time. We are referring only to the specific vehicles that we physically examined.

More importantly, a deeper check changes the interpretation of the branding itself.Saint-Gobain itself describes Saint-Gobain Sekurit as its OEM brand.

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Separately, the SEBI informal-guidance record refers to a dedicated automotive-glazing business within Saint-Gobain India Pvt Ltd called the “Sekurit Division”, which caters to the passenger-vehicle segment.

So seeing “Saint-Gobain Sekurit” printed on a passenger-car windshield does not, by itself, prove that the listed company manufactured or supplied that glass.

This is a small distinction with a large analytical consequence. An investor estimating SGS's addressable market cannot simply count every Saint-Gobain Sekurit-branded passenger car as part of the listed company's business.

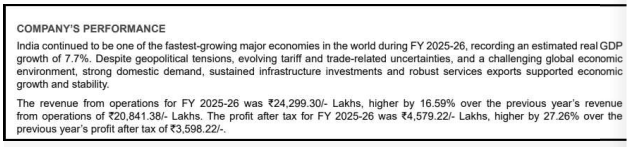
The FY26 annual report and the 2026 SEBI representation need to be read together.

Until the legal and operating perimeter is explained more consistently, the safer interpretation is that the wider Sekurit brand has passenger-vehicle exposure, while the latest regulatory representation places the listed company principally in the commercial-vehicle and three-wheeler side of the business.

That also makes the company's own forward-looking commentary more understandable. Most of its strategic discussion centres on trucks, buses, LCVs, three-wheelers, and the replacement market rather than passenger cars.

Broader Balance Sheet

If the operating business is narrow, the financial numbers are more comfortable. FY26 revenue from operations was Rs. 242.99 crore, up 16.59% from Rs. 208.41 crore in FY25. PAT increased 27.26% to Rs. 45.79 crore, from Rs. 35.98 crore.



COMPANY'S PERFORMANCE

India continued to be one of the fastest-growing major economies in the world during FY 2025-26, recording an estimated real GDP growth of 7.7%. Despite geopolitical tensions, evolving tariff and trade-related uncertainties, and a challenging global economic environment, strong domestic demand, sustained infrastructure investments and robust services exports supported economic growth and stability.

The revenue from operations for FY 2025-26 was ₹24,299.30/- Lakhs, higher by 16.59% over the previous year's revenue from operations of ₹20,841.38/- Lakhs. The profit after tax for FY 2025-26 was ₹4,579.22/- Lakhs, higher by 27.26% over the previous year's profit after tax of ₹3,598.22/-.

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Source: Company's annual report FY26

Margins also improved. The reported operating EBIT margin increased to 25.33% from 23.59%. The net profit ratio rose to 18.85% from 17.26%. RoCE improved to 24.54% from 21.98%, while return on equity increased to 19.96% from 17.37%.

NOTE 48 - ANALYTICAL RATIOS

Ratio	Numerator	Denominator	FY 2025-26	FY 2024-25	% Change	Reason
Current ratio	Current Assets	Current Liabilities	**6.32**	7.20	-12%	Not Applicable
Debt-equity ratio	Total Debt	Shareholder's Equity	-	-	0%	Not Applicable
Debt Service Coverage ratio	Earnings available for debt service	Debt Service	**77.44**	79.98	-3%	Not Applicable
Return on equity ratio	Net Profits after taxes	Average Shareholder's Equity	**19.96%**	17.37%	3%	Not Applicable
Inventory Turnover	Sales	Average Inventory	**10.01**	10.11	-1%	Not Applicable
Trade receivables turnover ratio	Net Credit Sales	Average Trade Receivable	**7.77**	8.86	-12%	Not Applicable
Trade payables turnover ratio	Net Credit Purchases	Average Trade Payables	**3.99**	4.91	-19%	Not Applicable
Net capital turnover ratio	Net Sales	Working Capital	**1.07**	1.04	3%	Not Applicable
Net profit ratio	Net Profit after Tax	Net Sales	**18.85%**	17.26%	2%	Not Applicable
Return on Capital Employed	Earning before interest and taxes	Capital Employed	**24.54%**	21.98%	3%	Not Applicable
Return on Investment	Return on Investment	Average Investment held	**7.08%**	9.97%	-3%	Not Applicable

Note: As per the requirements of Schedule III, the Company has provided explanations for the variance exceeding 25% in the disclosed ratios compared to previous year.

Source: Company's annual report FY26

Those are useful numbers for a manufacturing business. But one number deserves to sit beside all of them. As of March 31, 2026, SGSIL held Rs. 199.80 crore in mutual funds, up from Rs. 143.43 crore a year earlier.

NOTE 11 - INVESTMENTS (CURRENT)

Particulars	As at March 31, 2026	As at March 31, 2025
Investments in Mutual Funds (unquoted) measured at Fair value through Profit or Loss	**19,980.41**	14,342.86
Investments in Equity Instruments (unquoted) measured at Fair value through Other Comprehensive Income		
VEH Wind Energy Private Limited		
Nil (March 31, 2025 : 330,000) equity shares of ₹ 10/- each fully paid up	-	37.95
Total	**19,980.41**	14,380.81
Aggregate amount of quoted investment	-	-
Aggregate amount of market value of quoted investment	-	-
Aggregate amount of unquoted investment	**19,980.41**	14,380.81
Aggregate amount of impairment in value of investment	-	-

Note:

1. During the year ended March 31, 2025, Company had entered into an agreement dated February 25, 2025 for sale of shares held by Company at ₹ 11.50 per share to Vibrant Energy Holdings PTE. Ltd. The conditions for sale as per the agreement were not satisfied as at March 31, 2025. Subsequently, during the year ended March 31, 2026, the conditions were met and investments have been transferred to Vibrant Energy Holdings PTE. Ltd on July 16, 2025 for a consideration of ₹ 37.95 Lakhs.
2. Refer Note 40 for Fair Value Measurement and 41 for market risk associated with Investments.

Source: Company's annual report FY26

That is striking for a company generating about Rs. 243 crore of annual revenue. The mutual-fund portfolio alone was more than four times FY26 PAT and equivalent to roughly 80% of annual revenue. This does not automatically make the capital allocation good or bad.

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It tells investors something else: The economics of the listed entity are no longer explained merely by one factory. A large pool of financial assets sits alongside the manufacturing operation.

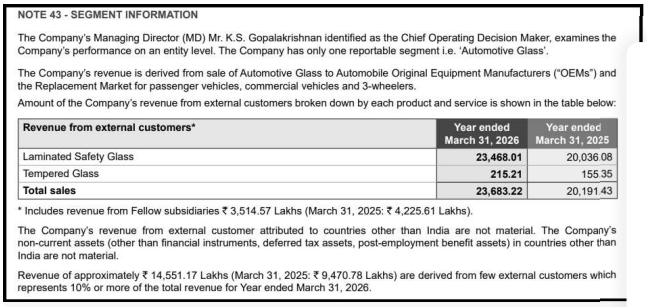
That also appears in other income. FY26 other income was about Rs. 11.52 crore, with a large component coming from redemption and fair-value gains on investments.

Investors should therefore separate two engines when analysing earnings. The first is the operating business, where margins themselves improved. The second is treasury income generated by the accumulated financial assets.

The current ratio of 6.32 times further underlines the liquidity position. The debt-equity line in the annual-report ratio table is shown as nil. So leverage is not the obvious financial risk here. Concentration is.

Customer Concentration

The FY26 segment disclosure says a few external customers, each contributing 10% or more of revenue, collectively accounted for about Rs. 145.51 crore. Against Rs. 236.83 crore of revenue from contracts with customers, that works out to roughly 60%.



NOTE 43 - SEGMENT INFORMATION

The Company's Managing Director (MD) Mr. K.S. Gopalakrishnan identified as the Chief Operating Decision Maker, examines the Company's performance on an entity level. The Company has only one reportable segment i.e. 'Automotive Glass'.

The Company's revenue is derived from sale of Automotive Glass to Automobile Original Equipment Manufacturers ("OEMs") and the Replacement Market for passenger vehicles, commercial vehicles and 3-wheelers.

Amount of the Company's revenue from external customers broken down by each product and service is shown in the table below:

Revenue from external customers*	Year ended March 31, 2026	Year ended March 31, 2025
Laminated Safety Glass	**23,468.01**	20,036.08
Tempered Glass	**215.21**	155.35
Total sales	**23,683.22**	20,191.43

* Includes revenue from Fellow subsidiaries ₹ 3,514.57 Lakhs (March 31, 2025: ₹ 4,225.61 Lakhs).

The Company's revenue from external customer attributed to countries other than India are not material. The Company's non-current assets (other than financial instruments, deferred tax assets, post-employment benefit assets) in countries other than India are not material.

Revenue of approximately ₹ 14,551.17 Lakhs (March 31, 2025: ₹ 9,470.78 Lakhs) are derived from few external customers which represents 10% or more of the total revenue for Year ended March 31, 2026.

Source: Company's annual report FY26

The customers are not named in the disclosures. Historical filings, however, establish that **Tata Motors** was a customer. As per FY24 annual report, SGS had entered into a bill-discounting arrangement covering sales to Tata Motors, though

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that arrangement was terminated effective February 2024.

That should not be used to infer Tata Motors' current share of revenue.It only establishes the relationship historically.

The larger conclusion is simpler: A relatively small number of OEM relationships have a large influence on revenue. This matters because auto glass is not a spot-market product for an OEM.

Suppliers need to meet technical specifications, quality standards, delivery requirements, and platform schedules. Winning an OEM programme can provide volume, but losing or completing one can also create a visible gap. The company itself identifies quality, cost, dependable supply, and customer relationships as key competitive factors.

The aftermarket provides some diversification (unspecified), but exports currently do very little of that job. Exports were just 0.49% of FY26 turnover. So this is an India-focused business. There is no meaningful export cushion yet if domestic OEM demand weakens.

The Group: Advantage & Dependency

Saint-Gobain's involvement is visible across SGS's ownership, sourcing, technology and sales. The promoter group holds exactly 75%. Saint-Gobain Sekurit France SA owns 48.26%, while Saint-Gobain India Pvt Ltd owns 26.74%. Promoter ownership has stayed at 75% for years.

Institutional participation is negligible. FII and DII ownership has generally been close to zero, while the balance is held by public shareholders.

More important than ownership is the operating relationship. FY26 related-party disclosures show purchases of goods from fellow subsidiaries of abou Rs. 48.96 crore. Saint-Gobain India Pvt Ltd alone supplied about Rs. 48.64 crore. SGS also bought R&D IT and other services from entities within the Saint Gobain network.

On the other side, it sold manufactured products

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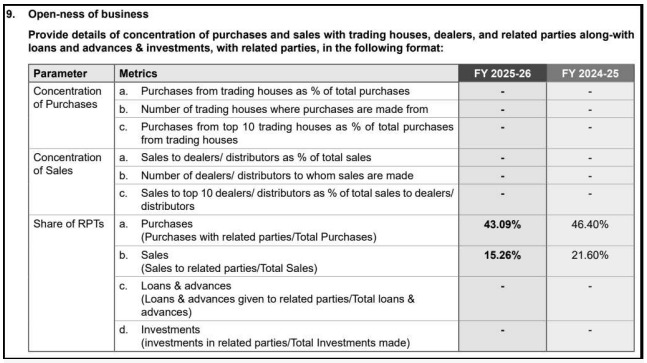
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and scrap worth about Rs. 37.47 crore to fellow subsidiaries, most of it to Saint-Gobain India Pvt Ltd.

Another disclosure in the annual report FY26 puts the dependence into simpler ratios. Related parties accounted for 43.09% of purchases and 15.26% of sales in FY26.



9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2025-26	FY 2024-25
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	-	-
	b. Number of trading houses where purchases are made from	-	-
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	-	-
Concentration of Sales	a. Sales to dealers/ distributors as % of total sales	-	-
	b. Number of dealers/ distributors to whom sales are made	-	-
	c. Sales to top 10 dealers/ distributors as % of total sales to dealers/ distributors	-	-
Share of RPTs	a. Purchases (Purchases with related parties/Total Purchases)	**43.09%**	46.40%
	b. Sales (Sales to related parties/Total Sales)	**15.26%**	21.60%
	c. Loans & advances (Loans & advances given to related parties/Total loans & advances)	-	-
	d. Investments (investments in related parties/Total Investments made)	-	-

Source: Company's annual report FY26

The shareholder vote on the proposed material related-party transactions is also worth noting. In 2024, when shareholders were asked for approval of material related party transactions, 34.8% of the votes cast were against the resolution, showing meaningful dissent among public shareholders.

The opposition dropped sharply thereafter, with similar RPT resolutions receiving 99.4% approval in 2025 and 95.7% in 2026.

Apart from the discussion on voting on RPT and the actual RPT done, the company's own justification fo the pricing is also disclosed. It states that because the arrangement is uniquely structured between th company and Saint-Gobain India, there are no unrelated comparable business entities from whom potential bids could be obtained for a direct comparison.

Prices are negotiated, and the audit committee concluded the transactions are in the ordinary course and at arm's length.

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B(1). Details of sale, purchase or supply of goods or services or any other similar business transaction and trade advances

Sr. No.	Description	Details
1.	Bidding or other process, if any, applied for choosing a party for sale, purchase or supply of goods or services.	The strategic partnership between the Company and SGIPL, the Companies within the same group and due to interconnected nature of business and ongoing nature of these arrangements between the companies since past several years, demonstrates existence of inherent synergies and provides operational and commercial advantage to the Company. Also, this arrangement being uniquely structured by and between the Company and SGIPL, there are no unrelated comparable business entities from whom potential bids could be obtained for a direct comparison. The Audit Committee noted that the transaction(s) are in the ordinary course of business and at arm's length. Based on the same it was noted that these RPTs between the Company and SGIPL are beneficial to the Company and shareholders.
2.	Basis of determination of price.	Negotiated price and terms considering arm's length
3.	In case of Trade advance, if any, proposed to be extended to the related party in relation to the transaction, specify the following:	NA
	a. Amount of Trade advance	
	b. Tenure	
	c. Whether same is self-liquidating?	

Source: Company's annual report FY26

That is a candid disclosure. It is also an admission that the arm's length test here rests on judgement rather than on a market check.

But investors should still understand what these transactions mean economically. The listed company is not operating like an isolated independent manufacturer that happens to have a foreign promoter. A meaningful part of its sourcing, technology services, and sales ecosystem is tied into the group.

That provides access to group capabilities. It also means that understanding which activity belongs to which Saint-Gobain entity becomes especially important. And that brings us back to the 2026 restructuring.

Another Restructuring

Saint-Gobain India currently owns 26.74% of the listed SGS. The group now plans to demerge Saint-Gobain India's passenger-vehicle Sekurit business into a new company, Saint-Gobain Sekurit Automotive Private Limited. Along with that business, Saint-Gobain India's 26.74% stake in SGS would also move to Saint-Gobain Automotive.

This brought SEBI into the picture. Under takeover rules, buying 25% or more of a listed company normally triggers an open offer, meaning the buyer must offer public shareholders an opportunity to sell their shares as well.

Saint-Gobain Automotive therefore asked SEBI

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whether this transfer could get an exemption. The argument was that this was only an internal group restructuring: SGS itself was not being merged or demerged, the ultimate ownership would remain the same, and no cash was changing hands.

In June 2026, SEBI said the transaction appears to qualify for the open-offer exemption, subject to the required conditions and approvals.

So this is very different from the earlier delisting attempt. SGS remains listed; only the Saint-Gobain entity directly holding the 26.74% stake would change.

The Solar Angle

In May 2026, SGS signed agreements with Murli Solar Energy and Sunsure Energy to source renewable power and agreed to invest about Rs. 1.5 crore in the power producer.

The details as required under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI Circular No. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 (updated) dated January 30, 2026, are as below:

Particulars	Details
Name(s) of parties with whom the agreement is entered	Murli Solar Energy Private Limited and Sunsure Energy Private Limited
Purpose of entering into the agreement	Sourcing of renewable energy
Shareholding, if any, in the entity with whom the agreement is executed	Saint-Gobain Sekurit India Limited has entered into Power Purchase Agreement and Share Subscription and Shareholders' Agreement with Murli Solar Energy Private Limited and Sunsure Energy Private Limited under which it shall collectively hold not less than 26% of the Share Capital of the Power Producer along with the other captive shareholders and pay subscription amount equivalent to INR 1,51,20,000 (Indian Rupees One Crore Fifty-One Lakhs Twenty Thousand) in accordance with the Electricity Act and Rules as applicable.
Significant terms of the agreement (in brief) special rights like right to appoint directors, first right to share subscription in case of issuance of shares, right to restrict any change in capital structure etc.,	Murli Solar Energy Private Limited and Sunsure Energy Private Limited shall be responsible for doing all such acts, matters and things as are required to be done in respect of compliance with the provisions of the Companies Act and rules made thereunder.
Whether the said parties are related to Promoter / promoter group / group companies in any manner	Not related to the Promoter/Promoter Group/Group Companies
Whether the transaction would fall within related party transactions	No
In case of issuance of shares to the parties, details of issue price, class of shares issued	Equity Shares will be issued at par, at issue price of ₹10/- each.
Any other disclosures related to such agreements, viz., details of nominee on the board of directors of the listed entity, potential conflict of interest arising out of such agreements, etc	There is no potential conflict of interest arising out of such an agreement

Source: Exchange Communication dated May 25, 2026

The reason lies in India's captive-power framework. Under the Electricity Rules, captive users generally need to collectively hold at least 26% ownership in

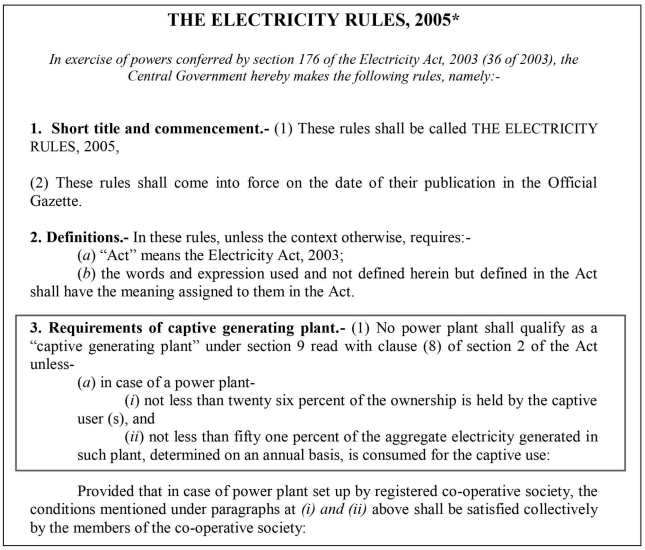
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the generating plant and consume at least 51% of the electricity generated.



THE ELECTRICITY RULES, 2005*

In exercise of powers conferred by section 176 of the Electricity Act, 2003 (36 of 2003), the Central Government hereby makes the following rules, namely:-

1. Short title and commencement.- (1) These rules shall be called THE ELECTRICITY RULES, 2005,

(2) These rules shall come into force on the date of their publication in the Official Gazette.

2. Definitions.- In these rules, unless the context otherwise, requires:-
(*a*) "Act" means the Electricity Act, 2003;
(*b*) the words and expression used and not defined herein but defined in the Act shall have the meaning assigned to them in the Act.

3. Requirements of captive generating plant.- (1) No power plant shall qualify as a "captive generating plant" under section 9 read with clause (8) of section 2 of the Act unless-
(*a*) in case of a power plant-
(*i*) not less than twenty six percent of the ownership is held by the captive user (s), and
(*ii*) not less than fifty one percent of the aggregate electricity generated in such plant, determined on an annual basis, is consumed for the captive use:

Provided that in case of power plant set up by registered co-operative society, the conditions mentioned under paragraphs at *(i) and (ii)* above shall be satisfied collectively by the members of the co-operative society:

So SGS is not entering the solar business. The equity investment is mainly part of the structure used to procure captive renewable power.

One distinction is important: The 26% captive-power rule does not automatically make the solar company an associate of SGS. Associate classification depends separately on whether SGS has significant influence over the company.

Governance Questions

There is one more disclosure that regular ET Prime readers may recognise immediately. SGS says that the SAP Avenir accounting system used for its books has an audit-trail feature and that there was no instance of the audit trail being tampered with where it operated.

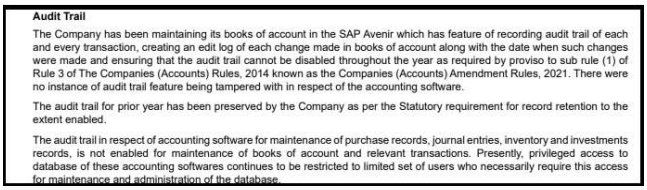
But the FY26 disclosure also says the audit trail was not enabled in accounting software used for maintaining purchase records, journal entries, inventory, and investment records.

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Audit Trail

The Company has been maintaining its books of account in the SAP Avenir which has feature of recording audit trail of each and every transaction, creating an edit log of each change made in books of account along with the date when such changes were made and ensuring that the audit trail cannot be disabled throughout the year as required by proviso to sub rule (1) of Rule 3 of The Companies (Accounts) Rules, 2014 known as the Companies (Accounts) Amendment Rules, 2021. There were no instance of audit trail feature being tampered with in respect of the accounting software.

The audit trail for prior year has been preserved by the Company as per the Statutory requirement for record retention to the extent enabled.

The audit trail in respect of accounting software for maintenance of purchase records, journal entries, inventory and investments records, is not enabled for maintenance of books of account and relevant transactions. Presently, privileged access to database of these accounting softwares continues to be restricted to limited set of users who necessarily require this access for maintenance and administration of the database.

Source: Company's annual report FY26

An audit-trail exception does not establish that somebody manipulated the accounts. It means the system did not preserve the full change history required across every relevant part of the accounting environment.

Regular readers may remember our recent ET Prime investigation, **"An old India Inc habit: Ignore the nudge, wait for the stick."** which can be assessed by **clicking here**.

An audit trail is better understood as the accounting system's memory. It preserves what was changed and when, allowing an auditor, regulator or future management team to reconstruct the sequence later.

Contingent liabilities have also increased: Contingent liabilities rose from about Rs. 5.6 crore in FY25 to Rs. 11.51 crore in FY26. The increase is largely explained by an Rs. 8.44 crore indirect-tax matter.

The company says these proceedings mainly relate to indirect-tax authorities, including C-form issues, excise classification and GST applicability.

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Dividend & Earnings

EPS tells us how much profit the company earned for each share, while DPS tells us how much of that was distributed to shareholders as dividend.

SGS's earnings history has not been a straight line. EPS was just Rs. 0.05 in FY14, recovered to Rs. 0.74 in FY15 and fell to zero in FY16. Earnings recovered thereafter. EPS reached Rs. 1.76 by FY19, weakened during the Covid period and then jumped to Rs. 5.23 in FY22 including an exceptional gain that year. The more recent trend is cleaner. EPS increased from Rs 3.17 in FY23 to Rs. 3.43 in FY24, Rs. 3.95 in FY25 and

Rs. 5.03 in FY26.

Dividend payments have also become more regular. No dividend was distributed up to FY20. SGS paid Rs. 1 per share in FY21, Rs. 3 in FY22, Rs. 1.50 in FY23, Rs. 2 each in FY24 and FY25, and Rs. 2.50 in FY26. Importantly, the FY26 dividend increased roughly in line with earnings.

The payout ratio remained close to 50%, meaning about half the profit was distributed and the rest was retained in the business.

Saint-Gobain Sekurit India Ltd - DPS & EPS

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22	FY2
Adjusted EPS (Rs)	5.03	3.95	3.43	3.17	5.23	1.2
Adj DPS (Rs)	2.50	2.00	2.00	1.50	3.00	1.(
Dividend Pay Out Ratio (%)	49.73	50.64	58.34	47.33	57.31	79.8

Finally, the Financials

Financial analysis matters because profit alone does not tell the full story. A business must also turn those profits into cash, fund growth sensibly and use the money it retains productively. The longer financial history helps test whether the business developments discussed earlier have actually shown up in the numbers.

The income statement shows a business that has grown, but not in a straight line.

Sales increased from about Rs. 91 crore in FY10 to R 243 crore in FY26, implying long-term growth of roughly 6.3% annually. The more recent period has been stronger. Sales rose from Rs. 186 crore in FY23 to Rs. 243 crore in FY26, a growth rate of roughly 9.2% annually.

Recent profit growth has been faster than sales. PAT increased from Rs. 28.87 crore in FY23 to Rs. 45.80 crore in FY26. The PAT margin consequently improved to 18.8%. So the recent profit growth is no explained only by higher sales.

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Saint-Gobain Sekurit India Ltd - Income Statement

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Sales	242.99	208.41	200.70	186.32	151.29
Total Income	256.63	225.92	210.55	193.79	155.30
Total Expenditure	193.34	174.77	163.69	150.61	117.47
Gross Profit	134.36	112.92	102.33	98.50	84.28
PAT	45.80	35.98	31.23	28.87	47.69
Cash Profit	49.09	39.50	34.92	32.83	52.13

SGS's paid-up equity remained unchanged at Rs. 91.11 crore throughout the entire FY10-FY26 period. That means the improvement in the balance sheet has not come through repeated equity issuance.

The important movement is in reserves. They were negative Rs. 35.44 crore in FY10 and remained negative through FY17. They turned positive in FY18 and reached Rs. 152.10 crore by FY26.

Net worth consequently increased from about Rs. 56 crore in FY10 to Rs. 243 crore in FY26. This strengthening has largely come from profits being retained over time rather than fresh equity capital.

Debt moved in the opposite direction. Borrowings were already modest for most of the period, fell to just Rs. 0.84 crore in FY24 and then were completely absent in FY25 and FY26.

So the recent expansion in the balance sheet has nc been debt-funded.

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Saint-Gobain Sekurit India Ltd - Sources of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Equity Paid Up	91.11	91.11	91.11	91.11	91.11
Reserves and Surplus	152.10	124.64	107.52	89.75	88.79
Net Worth	243.20	215.75	198.63	180.85	179.89
Total Debt	-	-	0.84	5.28	5.61
Capital Employed	243.20	215.75	199.47	186.13	185.50

Gross block stood at about Rs. 75 crore in FY26. That fits the current operating structure: SGS today has just one manufacturing plant, at Chakan.

The much bigger change has happened somewhere else.

Investments increased from just Rs. 10 crore in FY15 to Rs. 199.80 crore in FY26.

By FY26, investments were equivalent to roughly 82% of SGS's net worth and 82% of its annual sales.

That changes how investors should look at the company. SGS is still fundamentally an automotive-glass manufacturer, but a very large part of the wealth accumulated inside the listed entity is now sitting in financial investments rather than manufacturing assets.

The key capital-allocation question is therefore no longer whether SGS can fund its operations. It is what the company eventually does with its large pool of surplus capital.

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Saint-Gobain Sekurit India Ltd - Application of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Block	74.98	72.99	69.22	67.21	65.62
Investments	199.80	143.81	159.71	143.09	132.63
Cash and Bank balance	3.46	9.11	5.11	2.96	1.57
Net Current Assets	226.85	200.41	183.02	163.73	159.36
Total Current Liabilities	42.66	32.31	22.65	23.03	22.36
Total Assets	291.48	252.81	226.00	206.53	204.00

The history of cash flow from operations, or CFO, is positive overall, but recent profit growth has not converted into cash at the same pace. CFO was Rs. 34.09 crore in FY23, Rs. 29.68 crore in FY24, Rs. 28.01 crore in FY25 and Rs. 33.39 crore in FY26. Over the same period, PAT increased from Rs. 28.87 crore to Rs. 45.80 crore.

Saint-Gobain Sekurit India Ltd - Cash flow from operations

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22	FY2
Cash Flow from Operations	33.39	28.01	29.68	34.09	11.57	2.4

Returns have improved with the recent earnings recovery. The supplied data shows RoCE rising from 21.11% in FY23 to 26.15% in FY26.

A small word of caution here. The FY26 annual-report ratio table discussed earlier reported RoCE at 24.54%, while ACE database gives 26.15%. Such differences can arise from calculation methodology, so the direction of the trend is more useful than mixing the two absolute numbers.

The stock-market data tells a different story from the earnings trend. Market capitalisation peaked at about Rs. 1,150 crore in FY24 and fell to about Rs. 784 crore by FY26, even as EPS increased from Rs. 3.43 to Rs. 5.03.

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As a result, the adjusted P/E fell sharply from 36.83 times in FY24 to 17.11 times in FY26. In simple terms, earnings increased while the valuation investors were willing to pay for those earnings fell.

Saint-Gobain Sekurit India Ltd - Key Data Points

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22
ROCE (%)	26.15	22.94	22.39	21.11	36.90
Market Capitalization (INR Cr)	783.78	940.67	1,150.21	746.98	727.48
Equity Dividend (%)	25.00	20.00	20.00	15.00	30.00
Dividend Yield (%)	2.91	1.94	1.58	1.83	3.76
Adjusted PE (x)	17.11	26.14	36.83	25.87	15.25

Saint-Gobain Sekurit India Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	Open	High	Low	Close
September 9, 2026	113.75	113.95	110.50	111.80
January 3, 2000	20.98	21.22	20.17	21.22

Verdict: Mature, But Structurally Unfinished

SGS today is financially far healthier than its history would suggest. Earnings have recovered, margins are strong, debt is negligible and years of retained profits have created a sizeable investment pool. Its main product also remains relevant through the transition from ICE vehicles to **EVs**.

But shareholders are not investing in automotive glass in isolation. They are investing in one listed piece of a much larger Saint-Gobain ecosystem, where customers, sourcing, technology, passenger-vehicle operations sit across different entities.

And the corporate story continues to evolve. SGS ha already seen a failed delisting, a failed merger and, now, another group restructuring. The operating business may have matured, but for minority shareholders the final shape of the listed company

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still does not feel fully settled.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

If it has admitted to a threat, what does it plan to do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

Will also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

Stock Reports Plus, powered by Refinitiv, is a comprehensive research report that undertakes an in-depth quantitative analysis to generate standardised scores for each of the five key components. A simple average of these scores is then normally distributed to reach an average score. Each stock is ranked on a scale of 1 to 10. A score of 8 to 10 is considered positive, 4 to 7 is neutral, and 1 to 3 is considered a negative outlook.

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Exclusives

ET Prime Special Series: Multibagger or IBC - Part 78: A tech company hiding inside an auto-parts maker. But with a weak spot



Synopsis

This is one of the most exciting businesses in the sector: A technology company disguised
growing fast, earning exceptional returns, and generating real cash. It is also one of the mo
buyer accounts for roughly three-quarters of its sales, and a single type of component for ro
material costs. The upside is obvious. The fragility is the part investors have

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Here is a company that is very easy to admire and slightly frightening to own. Easy to admire, because almost everything about it is excellent. It began in an IIT Bombay laboratory, it now makes the electronic controllers that run millions of vehicles, its profit more than doubled last year, and it earns the kind of returns on capital most businesses can only dream about.

Frightening, because two numbers sit at its heart, and both point to the same weakness: Dependence.

The first is its customers. One single buyer accounts for around three-quarters of its sales. The second is its raw material. One type of component — the semiconductor chip — makes up roughly three-quarters of what it spends on materials, and a slice of that comes from China.

The 78th story in this series begins with a business most drivers will never see. Its part does its work silently, and a failure can stop a machine from doing its main job. Sales have climbed sharply, but the source of that success also creates dependence.

An engineering idea can take years to reach a factory line. Once a major buyer adopts it, volumes can rise quickly. That is the appealing side of this supplier's story. The other side is that a large buyer can also change orders, seek another solution, or slow a launch. FY26 brought scale. It did not end that debate.

The company we will be taking a deep dive into is **SEDEMAC Mechatronics Limited** (SEDEMAC).

But first... about our headline

Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

*This series on **auto ancillary companies** works*

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with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.

For previous stories in this AA Series, kindly click on the respective links -**Intro**, **1**, **2**, **3**, **4**, **5**, **6**, **7**, **8**, **9**, **10**, **11**, **12**, **13**, **14**, **15**, **16**, **17**, **18**, **19**, **20**, **21**, **22**, **23**, **24**, **25**, **26**, **27**, **28**, **29**, **30**, **31**, **32**, **33**, **34**, **35**, **36**, **37**, **38**, **39**, **40**, **41**, **42**, **43**, **44**, **45**, **46**, **47**, **48**, **49**, **50**, **51**, **52**, **53**, **54**, **55**, **56**, **57**, **58**, **59**, **60**, **61**, **62**, **63**, **64**, **65**, **66**, **67**, **68**, **69**, **70**, **71**, **72**, **73**, **74**, **75**, **76**, **77**

Lab to Market

Few listed auto ancillary businesses trace their beginnings to a laboratory at IIT Bombay. **SEDEMAC Mechatronics** does.

Its origins date back to 2007-08, when a team led by Prof. Shashikanth Suryanarayanan began working inside IIT Bombay. Amit Dixit, Pushkaraj Panse (left in 2018 and has ceased to be a promoter), and Manish Sharma were among the early team members. Anaykumar Joshi, who initially considered the company a stop before pursuing higher studies, eventually stayed and became part of the promoter group.

The business that emerged from that laboratory is easier to understand if we first forget the complicated names of its products: SEDEMAC essentially builds electronic brains for machines.

Its electronic control units, or ECUs, receive information, run control logic, and tell another part of the vehicle or machine what to do. In several applications these are not optional electronics. SEDEMAC describes them as "critical-to-the-application" because failure can prevent the vehicle or equipment from performing its primary function.

Take an electric vehicle. Its motor control unit decides how the motor responds. Or consider an engine-powered vehicle using electronic fuel injection. The controller manages the fuel delivery needed for the engine to operate. The hardware matters. But much of SEDEMAC's proposition sits i the control logic and algorithms built into it.

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The company today operates primarily across two broad markets: mobility and industrial. Mobility includes engine-powered and electric two- and three-wheelers. Commercial vehicles are under development. Industrial currently means mainly power generators, while power tools are one of the new markets being developed.

However, mobility still pays most of the bills. In FY26, the mobility segment generated about Rs. 911 crore of revenue, against around Rs. 148 crore from industrial operations. That makes mobility roughly 86% of the business.

The company also remains predominantly domestic. FY26 revenue from Indian customers stood at Rs. 972.35 crore, while rest-of-world revenue was Rs. 86.03 crore.

Small Boxes, Big Jobs

The easiest way to understand SEDEMAC is product by product. For engine-powered two- and three-wheelers, one of its main products is the **Integrated Starter Generator ECU**, or ISG ECU.

A normal rider does not see it. But think of it as the traffic controller for an electric machine that performs two jobs. It helps the machine when the engine needs to start, and works as a generator once the engine is running.

SEDEMAC's important differentiator here is its sensorless commutation technology, or SLC, which uses proprietary algorithms to estimate relative rotor position, eliminating external hall-effect sensors. The company says this improves reliability and also allows the system to work with oil-immersed magnetos used in motorcycles.

SEDEMAC has claimed in its prospectus that it was the first company in India to develop, design, and manufacture SLC-based ISG ECUs for two- and three-wheeler ICE vehicles.

More than 9.2 million small-engine two- and three-wheelers had been supplied with its sensorless ISG or integrated ISG+EFI units between FY18 and

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December 2025. By FY26, the cumulative number had crossed 10 million.

The company estimated that it held around 35% of the domestic ISG ECU market by volume for two- and three-wheelers combined during the nine months ended December 2025. That put it among the top four players.

The second important product is the **EFI ECU**, where EFI stands for electronic fuel injection. Think of this controller as a highly precise tap manager. Instead of fuel being supplied mechanically, the ECU controls how fuel is delivered so that the engine can operate while meeting the required emission framework.

Then comes the **ISG+EFI ECU**. Here SEDEMAC combines two control functions in one unit: Control of the starter-generator and electronic fuel injection. The simple analogy is two control desks being combined into one.

The company says the integrated product can simplify the electronics and offer functions such as torque assistance and idle start-stop. This product was still at an early growth stage, but FY26 saw a significant ramp-up.



Source: Investor Presentation

For EV two- and three-wheelers, the key product changes. The engine disappears, so fuel-injection

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electronics and an ICE starter-generator controller lose their original job. But an electric motor still needs a controller.

That is where SEDEMAC's **Motor Control Unit, or MCU**, comes in. An MCU can be thought of as the translator sitting between the rider's demand and the electric motor. It controls how the motor behaves rather than controlling fuel or an engine starter-generator.

SEDEMAC began supplying MCUs for electric three-wheelers in FY25. Its electric two-wheeler MCU entered series production in FY26.



Source: Investor Presentation

Industrial products make the business less dependent on the vehicle transition.

SEDEMAC has operated in generator controls since 2010. Its products include genset control units, EFI ECUs and electronic governing technology. The controller acts as the supervisor of the generator system, while the electronic governor helps control engine operation.

As per the prospectus, SEDEMAC estimated its share of India's genset-controller market at around 75%-77% during the nine months ended December 2025. Globally, it estimated a 14% share in FY25 for its genset controller and EFI ECUs offerings in this market.

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So there is already a second application where its control technology has reached scale.

Box Better Than Brain

Manufacturing an ECU involves physical components, but SEDEMAC's proposition cannot be understood only by looking at the box. A PCB arrives with semiconductors and other electronic parts mounted on it. The assembly goes through soldering and in-circuit testing. Software is then programmed into the microcontroller.

The populated PCB is fitted into its housing. It is functionally tested, filled with protective epoxy through the potting process, exposed to stress testing and elevated temperatures, checked again and finally packed for the OEM.

That manufacturing process matters for quality. But the more difficult part to replicate may be the control technology that tells the hardware what to do.

SEDEMAC's annual report describes a technical team of high-quality engineers as its biggest strength. The number of engineers from IITs, NITs, and BITS rose from 120 in FY25 to 154 in FY26.

It also had 12 granted patents across jurisdictions as of the date of the prospectus and another 11 Indian patent applications at different stages.

The useful way to view the company's moat is therefore not "it makes ECUs". Many companies can manufacture electronic boxes.

The question is whether SEDEMAC can repeatedly develop a control proposition, convince an anchor OEM to test it, make it work at automotive reliability levels and then move it into large-scale production.

Its history with sensorless ISG suggests that this process has worked once at a meaningful scale. The investment case now rests heavily on whether the process can be repeated.

One-customer Problem

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That brings us to an uncomfortable number in the story. **TVS Motor Company** accounted for 75.48% of SEDEMAC's revenue during the nine months ended December 2025. The dependence had been even higher in FY25 at 80.46%. In FY24 it was 83.46%.

The top three customers together accounted for 91.22% of revenue during the nine months ended December 2025. The top 10 accounted for 98.67%. This is clearly not a diversified auto ancillary revenue base.

However, there are signs of gradual improvement. SEDEMAC's FY26 annual report uses another concentration indicator, revenue from the largest customer less revenue from the next four customers. That measure fell from 72% in FY24 to 68% in FY25 and 58% in FY26.

The improvement matters, but the direction should not be confused with the destination. The customer base remains concentrated.

The more interesting question is how SEDEMAC intends to dilute it. One way to do that is getting the same technology adopted by more two-wheeler OEMs.

The company says its ISG and ISG + EFI ECUs technology have now been adopted by three of India's top four two-wheeler manufacturers, and was used on five of the top 10 selling two-wheeler models in FY26.

Another way is exporting or transferring products into other geographies. Yet another, and possibly th most important way, is applying the underlying control technology to completely new markets.

The EV Equation

SEDEMAC itself identifies the shift of India's two- and three-wheeler market towards electrification as a risk to its business, given its historical dependenc on products supplied to engine-powered vehicles.

At the same time, the company is building a presence in electric two- and three-wheelers

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through motor control units, or MCUs. SEDEMAC says its existing scale in motor controllers and its sensorless control technology give it relevant capabilities for addressing the electric two- and three-wheeler market.

The contribution from **electric vehicles** has also been rising. Products supplied to electric two- and three-wheelers accounted for 0.3% of its two- and three-wheeler revenue in FY24, increasing to 1.7% in FY25 and 7.4% in FY26.

SEDEMAC started supplying MCUs for electric three-wheelers in FY25, with volumes ramping up significantly in FY26. Its electric two-wheeler MCUs also entered series production during FY26.



Source: Investor Presentation

Its mobility portfolio therefore now spans both ICE-powered and electric two- and three-wheelers. For ICE-powered vehicles, its key products include Integrated Starter Generator ECUs, Electronic Fuel Injection ECUs and combined ISG+EFI ECUs. For electric two- and three-wheelers, it supplies MCUs.

SEDEMAC is also expanding into electric machines. It says it is starting with electric machines for two- and three-wheeler ISG systems, while separately engaging customers on an integrated rare-earth-free motor and MCU offering for electric two- and three-wheelers and electric bicycles.

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For investors, the transition is therefore not only about the exposure of the existing portfolio to electrification. It is also about how quickly the company's newer electric-mobility products scale alongside its existing business.

FY26: The Business Scaled

The financial acceleration has been sharp. Revenue from operations rose from Rs. 423 crore in FY23 to Rs. 530 crore in FY24, Rs. 658 crore in FY25, and Rs. 1,058 crore in FY26.

That works out to a three-year CAGR of around 36%. But FY26 alone accounted for a large part of the jump as the revenue increased 61% year on year.



Source: Investor Presentation

EBITDA rose from Rs. 125 crore in FY25 to Rs. 222 crore in FY26, an increase of 78%. EBITDA margin improved from 19% in FY25 to around 21% in FY26. PAT more than doubled from Rs. 47 crore in FY25 to about Rs. 104 crore in FY26. RoCE improved from 34% in FY25 to around 40% in FY26 whereas RoE increased from 22% to 27.5% during the same period.

Debt remained relatively limited compared with equity. Total borrowings stood at Rs. 50.63 crore at the end of FY26, while total equity was Rs. 449.20 crore. The debt-equity ratio declined to 0.16 from 0.21.

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Source: Annual Report FY26

Volumes explain part of this growth. SEDEMAC says it sold more than 3.9 million control-intensive ECUs during FY26, 60% more than in FY25.

The volume momentum continued into FY27. In the June 2026 quarter, SEDEMAC sold 1.108 million control-intensive ECUs, up 37.1% YoY. Trailing-12-month sales reached 4.20 million units, an increase of 52.9%.

The company also crossed two volume milestones. Motor-controller sales exceeded one million units in a quarter for the first time in Q1 FY27, while in August 2026, monthly sales of control-intensive ECUs exceeded 500,000 units for the first time.

Expanding Footprint

SEDEMAC entered FY26 with two operating manufacturing facilities. MF1 in Chakan had aroun 40,000 sq ft, while MF2 in Pune had around 8,000 sq ft. And the expansion plan is much larger.

MF3 in Chakan has about 120,000 sq ft and is intended for ECU manufacturing. MF4, also in Chakan, has about 9,000 sq ft and is intended for electric machines.

The company also mentions around 13 acres Shoolagiri Land in Tamil Nadu, intended to support customers with plants in southern India over time.

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Source: Investor Presentation

A development came on September 25, 2026. SEDEMAC informed the exchanges that it had commenced limited commercial production at MF3. MF4 shipments were expected to start during Q3FY27.

As these opportunities scale, the larger manufacturing footprint could provide the company with room to support higher volumes and a broader product portfolio.

Input Risk

Customer concentration gets more attention, but another concentration sits inside the product. Semiconductors represented 74.22% of SEDEMAC's material costs during the nine months ended December 2025. In FY25 the figure was 76.25%. In FY24 it was 77.61%.

Printed circuit boards (PCBs) accounted for another 8.04% during the nine-month period.

This makes semiconductor pricing and availability financially important. A shortage does not only increase cost. It can also delay production and customer deliveries.

The FY27 outlook already acknowledged tightening semiconductor supply and some commodity inflation. SEDEMAC's management further highlighted that these factors had created some

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raw-material cost pressure and mildly affected EBITDA margin in Q1 FY27. It nevertheless expected EBITDA margin to hold or improve through the remainder of FY27 compared with Q1.



Source: Investor Presentation

China is a part of the sourcing picture as the prospectus mentioned that "a portion of our key raw materials, including semiconductors and printed circuit boards, is imported from suppliers based in China". Purchases from China represented 8.23% of total purchases during the nine months ended December 2025.

Management Question: What Could Go Wrong?

One unusual part of SEDEMAC's disclosures is a risk-assessment survey conducted with investors, with 20 participants completing the survey. This should not be treated as an independent investor poll. It was conducted by SEDEMAC itself and included buy-side and sell-side participants.

The rankings are interesting to read because they show what investors tracking the business were worried about.

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Source: Investor Presentation

The highest risk score, at 0.38, was for the possibility that the company's products for the Indian two- and three-wheeler EV market may not be seen as compelling. Next, at 0.37, was the possibility of a significant negative impact from a demand drop at key customers. The third major concern, at 0.34, was the possibility that R&D may fail to continually produce significant new propositions.

Those three risks map almost perfectly to the investment case. Can the company replace or extend products as the market changes? Can it reduce dependence on a concentrated customer set? And can its engineering organisation repeatedly produce significant propositions?

That is a more useful framework than simply extrapolating FY26 growth.

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Unusual Ownership Story

As of March 31, 2026, promoters and the promoter group held 26.24% of the company. Alternate Investment Funds collectively held 27.65%, more than the promoter group. Mutual funds held another 13.63%. Foreign companies held 10.77%. Insurance companies held 2.65%, while Category I FPIs held 2.51% and the public shareholders accounted for 9.07%.

So this is not a conventionally promoter-dominated small auto ancillary company. The ownership base

already contains a large institutional component. That does not, however, reduce operating risks.

It simply makes the operating questions more important, because the business will ultimately have to justify its scaling plans through execution rather than through the comfort of promoter ownership alone.

R&D Spend: On the Rise

SEDEMAC's investment spending has increased as the business has scaled, but the more important trend is that capex has become smaller relative to turnover. Total expenditure in this table rose from Rs. 44.40 crore in FY25 to Rs. 61.64 crore in FY26.

Of this, capital expenditure increased from Rs. 29.27 crore to Rs. 39.07 crore, while recurring expenditure rose from Rs. 15.13 crore to Rs. 22.57 crore.

This increase coincides with the manufacturing expansion discussed earlier. The higher recent spending therefore comes during a period when the company's physical manufacturing footprint is being expanded.

What stands out, however, is the trend relative to sales. Total expenditure represented 17.67% of turnover in FY23, before falling to 9.65% in FY24, 6.86% in FY25, and 5.85% in FY26.

That does not mean investment has slowed in absolute terms. Rather, revenue has expanded much faster than expenditure in recent years.

For investors, the next point to watch is whether the newer manufacturing facilities and product programmes discussed earlier continue to translate into higher revenue and cash generation without requiring a disproportionate rise in capital spending.

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Sedemac Mechatronics Ltd - Research and Development

Amounts in INR Crores, unless stated otherwise

DESCRIPTION	FY26	FY25	FY24	FY23	FY22	F
Capital Expenditures	39.07	29.27	37.72	36.61	29.34	1
Recurring Expenditures	22.57	15.13	12.77	36.65	3.58	
Total	61.64	44.40	50.49	73.26	32.92	2
% of Turnover	5.85	6.86	9.65	17.67	11.88	

Dividend & Earnings

EPS shows how much profit the company earned for each share, while DPS shows how much was distributed to shareholders as dividend. SEDEMAC's earnings history shows a clear change in recent years.

Adjusted EPS was negative or low through much of the earlier period and stood at Rs. 3.56 in FY24. It then rose to Rs. 10.46 in FY25 and more than doubled to Rs. 23.46 in FY26. That improvement broadly follows the operating acceleration discussed earlier.

The data shows no adjusted DPS throughout the period. So despite the recent rise in earnings, the historical table does not show dividend distribution.

Sedemac Mechatronics Ltd - DPS & EPS

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22	F
Adjusted EPS (Rs)	23.46	10.46	3.56	5.20	2.12	
Adj DPS (Rs)	-	-	-	-	-	
Dividend Pay Out Ratio (%)	-	-	-	-	-	

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Finally, the Financials

SEDEMAC's business story has changed quickly. Volumes have increased, EV-linked products are beginning to contribute, and the company is adding manufacturing capacity.

The financial statements help answer whether that growth has also translated into higher profits, stronger cash generation, and a balance sheet capable of supporting the expansion.

The long-term revenue curve is steep. Gross sales increased from Rs. 240.25 crore in FY21 to Rs. 1,062.28 crore in FY26, implying growth of roughly 35% annually over those five years. The sharpest move came in FY26 itself, when gross sales increased about 60% from Rs. 662.26 crore. That closely matches the operating picture discussed earlier.

Profit grew even faster. PAT increased from Rs. 47.05 crore in FY25 to Rs. 103.58 crore in FY26, more than doubling in one year.

The longer history is useful here. SEDEMAC reported losses in several earlier years, including a Rs. 9.22 crore loss in FY20. Profitability subsequently improved, but the major step-up has come only in the last two years.

This suggests that the business has not merely grown larger over time. Its earnings profile has changed materially.

Sedemac Mechatronics Ltd - Income Statement

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Sales	1,062.28	662.26	536.06	424.73	283.2
Total Income	1,063.65	662.53	535.90	429.87	285.9
Total Expenditure	841.45	537.47	452.77	375.63	253.8
Gross Profit	412.57	247.71	167.64	119.70	90.7
PAT	103.58	47.05	5.88	8.57	3.5
Cash Profit	167.06	92.38	41.74	38.76	24.1

SEDEMAC's balance-sheet funding mix has change considerably. Total debt climbed from Rs. 47.27 crore in FY21 to Rs. 150.62 crore in FY24. It then fell sharply to Rs. 49.62 crore in FY25 and remained broadly stable at Rs. 50.63 crore in FY26.

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At the same time, net worth increased from Rs. 113.51 crore in FY24 to Rs. 292.92 crore in FY25 and Rs. 446.35 crore in FY26.

The result is a much lower leverage profile. Debt was larger than net worth in FY24, whereas by FY26 debt was only around 11% of net worth based on the figures of ACE Equity.

Sedemac Mechatronics Ltd - Sources of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Equity Paid Up	44.16	0.03	0.01	0.01	0.01
Reserves and Surplus	402.19	292.89	113.50	104.72	106.19
Net Worth	446.35	292.92	113.51	104.73	106.20
Total Debt	50.63	49.62	150.62	109.61	89.71
Capital Employed	499.83	353.00	274.74	224.63	204.08

The asset side shows the physical expansion more clearly. Gross block increased from Rs. 191.05 crore in FY24 to Rs. 289.97 crore in FY25 and Rs. 415.46 crore in FY26. That is a rise of about 52% in FY25 followed by another 43% in FY26.

This coincides with the manufacturing expansion discussed earlier, including the much larger MF3 ECU facility and MF4 electric-machine facility.

Liquidity has also strengthened. Cash and bank balances increased from Rs. 8.25 crore in FY25 to Rs. 64.39 crore in FY26. Total assets consequently rose from Rs. 381.14 crore in FY24 to Rs. 477.61 crore in FY25 and Rs. 813.70 crore in FY26.

FY26 was therefore not only a year of higher sales and profit. The asset base also expanded materially.

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Sedemac Mechatronics Ltd - Application of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Block	415.46	289.97	191.05	171.06	189.75
Investments	-	19.39	-	-	-
Cash and Bank balance	64.39	8.25	7.35	8.50	8.29
Net Current Assets	114.65	66.14	-54.84	-35.99	9.78
Total Current Liabilities	300.89	148.37	215.06	157.44	111.27
Total Assets	813.7	477.61	381.14	313.32	262.44

Cash conversion is one of the stronger features of the recent numbers. Cash flow from operations increased from Rs. 60.75 crore in FY24 to Rs. 90.91 crore in FY25 and Rs. 128.02 crore in FY26.

Importantly, FY26 operating cash flow was higher than PAT of Rs. 103.58 crore. The same was true in FY25, when CFO of Rs. 90.91 crore exceeded PAT of Rs. 47.05 crore.

That provides some comfort that the recent profit increase has not remained only in reported earnings. Cash generation has risen alongside the business.

The relationship between PAT and CFO however varies from year to year, but recent growth has remained cash-generative.

Sedemac Mechatronics Ltd - Cash flow from operations

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Cash Flow from Operations	128.02	90.91	60.75	77.67	9.50

Return on capital employed has improved substantially. RoCE moved from negative levels in several earlier years to 11.22% in FY23, 18.93% in FY24, 25.40% in FY25 and 37.22% in FY26. That progression is particularly relevant because capital employed itself has also expanded, from Rs. 224.63

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crore in FY23 to Rs. 499.83 crore in FY26.

In other words, returns have improved even while significantly more capital has been put into the business.

Sedemac Mechatronics Ltd - Key Data Points

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22
ROCE (%)	37.22	25.40	18.93	11.22	6.39
Market Capitalization (INR Cr)	6,674.56	-	-	-	-
Equity Dividend (%)	-	-	-	-	-
Dividend Yield (%)	-	-	-	-	-
Adjusted PE (x)	64.44	-	-	-	-

Sedemac Mechatronics Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	Open	High	Low	Close
September 28, 2026	3450.00	3595.95	3375.10	3552.55
March 11, 2026	1510.00	1613.50	1425.00	1452.10

Verdict: Follow the Conversion

Track new customer sales, the EV share of two- and three-wheeler revenue, commercial production from MF3 and MF4, and the return earned on capital after expansion. A product launch is a starting point. Repeat volume and cash generated from it are the evidence investors need.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

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If it has admitted to a threat, what does it plan to do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

Will also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

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How do you usually track your market trades?

Answer required

- Glued to charts during market hours
- Checking prices between office meetings
- Looking for a 15-min daily routine